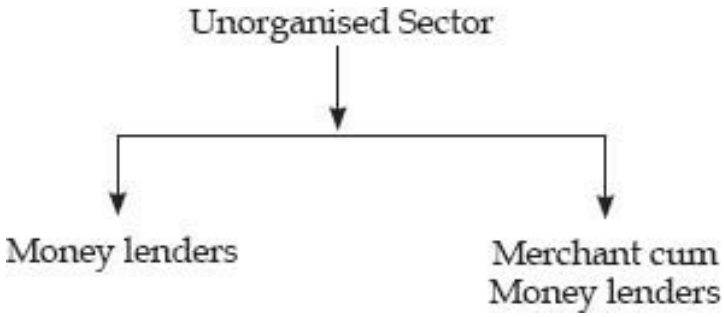
Unorganised Sector

The unorganised sector banking is not a registered and regulated one. They do not maintain proper accounts. The unorganised sector has two types of participants. It is shown in the following figure 7.10.

Figure 7.10



The interest rate is usually high in unorganised sectors. The lending and borrowing operation is less cumbersome because many of the procedures followed by banks are not followed in unorganised sectors.

Money Lenders

The money lenders are exclusively engaged in money lending operations. It is their source of livelihood.

Merchant cum Money Lenders

The merchant cum money lenders are engaged in merchandising and money lending. They lend to producers of the product in which they merchandise. The producers have to sell their products only to the lender. In this case merchant cum money lenders usually purchase products at low price.

Banking Schemes